

media: “Markets regulator Sebi is actively working with the Ministry of Finance and other financial regulators on setting up a centralised KYC system. We’re really trying to have a system which will be very, very effective.”

DYNAMIC IDENTITY MANAGEMENT

CKYC 2.0, expected to be rolled out in 2025, will be a Cloud-native, Artificial Intelligence (AI)-enabled platform offering real-time, secure and dynamic identity management.

Privacy and security have been key concerns around a centralised system for data storage and collection. Several measures, such as the 14-digit unique identifier and masked identity number, have been introduced to address the concerns.

“Additional measures, including strengthening infrastructure security, using AI as a tool to detect breaches and potential security threats, stringent access management features and regular audits can also be explored. Blockchain can be a very useful technology to store tamper-proof data and control access to the sensitive data,” says Shilpa Mankar Ahluwalia, partner at the law firm Shardul Amarchand Mangaldas.

Customer empowerment is also in focus. The revamped CKYC will allow individuals to view their KYC status, receive alerts when institutions access their data, and potentially initiate updates themselves.

“Integration with DigiLocker is also being strengthened to eliminate the need for paper-based verification,” says Ahluwalia.

From a market integration standpoint, a key development under discussion is the ability for



CHALLENGES IN CKYC



DATA QUALITY

Issues with incomplete, inconsistent, or poor-quality KYC records being uploaded by financial institutions



CUSTOMER EXPERIENCE

Difficulties for first-time investors or underbanked populations due to delays, OTP issues, or unclear rejection reasons



LACK OF UNIFORMITY

Sectoral regulators (RBI, Sebi, IRDAI, PFRDA) still maintaining separate KYC protocols, leading to duplication



GOVERNANCE MODEL

A perception that CKYC’s governance prioritises surveillance over service delivery, limiting user-friendly features

KYC Registration Agencies (KRAs) regulated by Sebi to directly upload data to CKYC.

“At present, KRAs operate independently, primarily in the securities and mutual fund space. However, if they are allowed to participate in the CKYC upload process, the result would be a unified and harmonised KYC framework across the financial sector. Enabling this would streamline processes and reduce duplication,” says E. S. Varadarajan, Chief Process and Risk Officer at Computer Age Management Services (CAMS).

Discussions are also under way on expanding the scope of CKYC beyond identity. Future iterations may include declarations under the Foreign Account Tax Compliance Act (FATCA) and Common Reporting Standards (CRS)—international tax agreements that require financial institutions to provide information and even risk profiling about foreign account holders to tax authorities to combat tax evasion.

They would transform CKYC into a comprehensive client information repository rather than a basic identity validation tool, says Varadarajan.

CHALLENGES AND THE WAY AHEAD

The road to seamless identity verification is not without bumps.

A glaring issue is data quality. Banks sometimes upload incomplete, inconsistent or poor-quality KYC records, resulting in clutter that renders documents undecipherable, says Harsh Roongta, founder of Fee Only Investment Advisers. “CKYC accepts poor-quality submissions